

ROLLING STARS

- ▶ There has been no significant VC funding in the past 18 months for roll-up start-ups
- ▶ Most start-ups have paused their acquisition activities



MENSA BRANDS

- **Funding:** \$403 million
- **Last equity round:** November 2021
- **Key Investors:** Winter Capital Partners, 9Unicorns, Venture Catalysts, Flipkart Ventures, Mayfield India, Better Capital
- **Brands acquired:** Xpert Media Technology, Idiva, Hypp, Pretty Krafts, Implexians Eco Solutions, Florona, Mosay International, Aswati Clothing, Lilpicks, Folkulture, Villain Lifestyle, etc.



GLOBALBEES

- **Funding:** \$190 million
- **Last equity round:** December 2021
- **Key Investors:** Angel List, Village Global, 9Unicorns, Equanimity Ventures Fund, Moving Capital
- **Brands acquired:** Westcoast Pharmaceutical Works, Ug Life Style, Hs Fitness, Pepper Health, Dynamic It Solution, Mush Textile, Eyezen Technologies, Cloud Lifestyle, etc.



GOAT

- **Funding:** \$108 million
- **Last equity round:** June 2022
- **Key Investors:** Alpha Wave Global, Accel India, Tiger Global, Prosus, Norwest Venture Partners
- **Brands acquired:** Universal Sportsbiz, Label Corp, Doggie Dabbas, Frangipani Garments

| START-UPS ROLL-UPS |

WHEN 10CLUB, ONE of India's rising roll-up stars, announced a pivot to single-brand play, the Bengaluru-based firm wasn't just altering its own course but catching the pulse of global markets, offering a glimpse into what might be on the horizon for its Indian counterparts. 10Club was among a host of start-ups that emulated the model of Thrasio, a US-based e-commerce brand aggregator, in India and swept the market as investors eagerly poured funds into them. The frenzy was such that Mensa Brands, launched by former Myntra CEO Ananth Narayanan, became a unicorn in just six months, the fastest Indian start-up to enter the coveted club.

What explains the tremendous investor interest this space saw then? The answer may lie in the business model. Commonly known as roll-ups, these e-commerce brand aggregators specialise in acquiring sellers who primarily operate on online marketplaces. The idea is to bring together multiple brands under one umbrella and build efficiencies through better marketing spends, product development, inventory management and supply chain management for rapid growth.

Thrasio, founded in 2018, pioneered the art of acquiring and scaling e-commerce brands, with a particular emphasis on brands that operate on the Amazon marketplace. Following the early success of the model, several others quickly emerged, including Perch, Heyday, Boosted Commerce, and Branded. During the peak of the growth years, some of them were acquiring four to five companies a week for about six months straight.

A SUDDEN END TO THE HONEYMOON

In 2021, the e-commerce surge, driven by the digital explosion during the pandemic, increased confidence in the roll-up model. Aggregators splurged to seal deals, buying brands at several multiples of adjusted Ebitda.

In India, the business model gained traction in 2021, a year marked by a significant influx of venture capital money into start-ups. As expected, a part of that sum was set aside for roll-ups, seen as the next big e-commerce opportunity. Thrasio made its way into the India market through the acquisition of a majority stake in the consumer durables brand Lifelong, along with a commitment of ₹3,750 crore to acquire digital-first brands in the country. The momentum saw many roll-ups emerge and compete fervently to acquire brands across sectors, looking for those with strong marketplace traction and favourable margin profiles, driving up valuations.

But the euphoria was short-lived. Come 2022, private capital dried up due to a sudden shift in the global macro environment. Companies in the segment, still very early in their journey, have depended on a combination of debt